# Spend-Down, Countable, Community Spouse: The Money Words You'll Hear While Mom Is in Care

Nineteen terms in one plain line each, and what to write down about each.

Spend-down, countable, exempt, community spouse. People say these words to you as if they were instructions, and nobody stops to explain them. These are the ones you're most likely to hear while Mom's care is being paid for, each in one plain line, with what to write down when it comes up.

The definitions are for following the conversation. They aren't for sorting Mom's assets yourself, and none of them comes with a number: the figures and rules behind these words vary by state and change. Where the public sources used here don't define a word, the line says so and gives you only what to note.

## The monthly picture

### Care costs

What Mom's care is billed at. The cost of long-term care depends on the type and duration of care, the provider and where you live, and a facility may add extra charges to its basic rate. [1]

**WRITE DOWN** The latest bill: the total, and any extras on their own line.

### Income

What comes in regularly. The income a state looks at includes Social Security, veterans benefits, pensions, wages, interest and dividends. [2]

**WRITE DOWN** Each source, how much, and how often it arrives.

### Monthly shortfall

The roadmap's own term for the part of the monthly care bill that Mom's income doesn't cover.

**WRITE DOWN** Which account is paying the difference each month.

### Financial runway

The roadmap's own term for how long a person's resources may last while care is being paid for. The public sources used here don't describe how to work it out, and it's a question to bring to your Medicaid planner.

**WRITE DOWN** Nothing to calculate. Keep the bills and statements someone would need to see.

## How Medicaid looks at what a person owns

### Financial eligibility

The assessment of a person's available income and assets to determine whether they meet Medicaid's eligibility requirements. The state takes the application and makes the determination. [3] [4]

**WRITE DOWN** Which state Mom lives in, and where she is receiving care.

### Countable assets

Assets whose value is counted in determining financial eligibility for Medicaid. [3]

**WRITE DOWN** What Mom owns, without sorting it. Which assets may be countable is a question for your Medicaid planner.

### Exempt (non-countable) assets

Assets whose value is not counted in determining financial eligibility for Medicaid. [3]

**WRITE DOWN** The same list. Leave the sorting to the professional review.

### Ownership

Whose name is on an asset. The full value of an asset owned jointly with someone else may be counted as belonging entirely to the person applying. [2]

**WRITE DOWN** Every name on each account, deed, title and policy.

### Liquidity

A word you may hear when Mom's assets are reviewed. The public sources used here don't define it, so ask whoever uses it what they mean.

**WRITE DOWN** For each thing Mom owns, whether it is money in an account or something that would have to be sold.

### Spend-down

The phrase people use for a person's assets going down as care is paid for. Medicare.gov says someone paying for a nursing home out of pocket “may eventually ‘spend down’” their assets. The phrase doesn't say how much, or of what. [5]

**WRITE DOWN** Who said it, what they meant by it, and your question about it.

### Gifts and transfers

The Administration for Community Living's glossary defines a transfer of assets as giving away property for less than it is worth or for the sole purpose of becoming eligible for Medicaid. What that means for any one gift or payment is a professional's question. [3]

**WRITE DOWN** Any gift, repayment, sale or change of name, done or being considered, with the date and who was involved.

## If Mom is married

### Community spouse

The spouse of a nursing home resident who is applying for or receiving Medicaid long-term care services. [3]

**WRITE DOWN** Whether Mom has a spouse living at home, and the spouse's income and housing costs.

### Spousal impoverishment protections

Federal provisions that Medicaid.gov describes as meant to keep the spouse at home from being left with little or no income or resources. Under them, it says, a certain amount of the couple's combined resources is protected for that spouse. [6]

**WRITE DOWN** What the couple owns together and separately. The amounts are a question for a professional who knows the state.

## Policies and products

### Insurance policies

Long-term care insurance is designed to help pay for long-term care services, and some insurance companies let a life insurance policy be used to pay for long-term care. Medicare.gov's advice is to check the policy or call the insurance company. What using a policy may mean for Medicaid is a question for your Medicaid planner. [3] [5]

**WRITE DOWN** Each policy, the company, and where the paper is.

### Annuity

A contract in which a person gives an insurance company money that is later distributed back to the person over time. [3]

**WRITE DOWN** Any annuity Mom has, or one someone has suggested, and who suggested it.

### Retirement accounts

The public sources used here don't say how these are treated by Medicaid, so this line has only a note to make.

**WRITE DOWN** Each account, whose it is, and what has been coming out of it.

### Funeral and burial arrangements

Something to ask about. The public sources used here don't explain these in general terms.

**WRITE DOWN** Whether Mom has an arrangement, with whom, and where the contract is.

## Paper and people

### Documentation

The paper behind the picture. An application for Medicaid asks for documentation of what a person has, and the Consumer Financial Protection Bureau's guide for people who manage someone else's money says to keep receipts and notes even for small expenses. [2] [7]

**WRITE DOWN** Where the statements, receipts and contracts are kept.

### Professional review

On this roadmap, your Medicaid planner reviews how Medicaid rules may apply to a proposed financial action before it is taken. Legal questions go to an elder law attorney, and insurance or financial products to a licensed insurance or financial professional.

**WRITE DOWN** Each open question, and whose it is.

**What this sheet doesn't do**

It defines words. It doesn't say which of them apply to Mom, state any limit or figure, sort her assets, or tell you whether she qualifies for anything, and nothing here is legal, financial or tax advice. Lines marked with a number come from the sources below. The roadmap's own terms are described the way the Medicaid Planning Roadmap uses them.

### Ready for the next step?

You can follow the words now, and you know what to note when someone uses one. The planning interview is in plain language too: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

**Get Your Free Planning Report ›**

#### WHERE THIS COMES FROM


1. Administration for Community Living (LongTermCare.gov), Costs of Care
2. Administration for Community Living (LongTermCare.gov), Medicaid Eligibility
3. Administration for Community Living (LongTermCare.gov), Glossary
4. Administration for Community Living (LongTermCare.gov), Applying for Medicaid
5. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
6. Centers for Medicare & Medicaid Services (Medicaid.gov), Spousal Impoverishment
7. Consumer Financial Protection Bureau, Managing Someone Else's Money: Help for agents under a power of attorney